



VIRTUAL UNIVERSITY OF PAKISTAN

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LECTURE WISE NOTES:

Short Questions File & MCQ's File

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COURSE: ECO402

Short Questions File For Final Exams

Lecture # 22

What are the characteristics of perfectly competitive markets?

Answer: The characteristics of perfectly competitive markets are price taking, product homogeneity, and free entry and exit.

How does price taking affect individual firms in a perfectly competitive market?

Answer: Price taking means that individual firms in a perfectly competitive market cannot influence the market price and must accept the prevailing price as given.

What is product homogeneity in a perfectly competitive market?

Answer: Product homogeneity means that the products of all firms in a perfectly competitive market are perfect substitutes, and consumers perceive them as identical.

Give some examples of products in perfectly competitive markets.

Answer: Examples of products in perfectly competitive markets include agricultural products, oil, copper, iron, and lumber.

What is meant by free entry and exit in a perfectly competitive market?

Answer: Free entry and exit mean that both buyers and sellers can easily enter or leave the market, allowing for competition to operate efficiently.

Are all markets competitive?

Answer: No, not all markets are perfectly competitive. Some markets may have monopolistic competition, oligopoly, or monopoly structures.

When is a market considered highly competitive?

Answer: A market is considered highly competitive when there are numerous sellers and buyers, no significant barriers to entry or exit, and perfect information.

What is the difference between revenue maximization and profit maximization?

Answer: Revenue maximization focuses on generating the highest possible total revenue, while profit maximization aims to achieve the highest difference between total revenue and total cost.

Can firms in perfectly competitive markets pursue objectives other than profit maximization?

Answer: Yes, firms in perfectly competitive markets can pursue other objectives, such as revenue maximization or short-run profit maximization.

Why is long-run profit maximization essential for a company's survival?

Answer: Long-run profit maximization is crucial for a company's survival because, without profits, investors may not support the company, making survival unlikely.

What is the relationship between marginal revenue, marginal cost, and profit maximization?

Answer: Profit is maximized when marginal revenue (MR) equals marginal cost (MC), as this ensures that the firm produces the optimal quantity.

How does a competitive firm determine its profit-maximizing level of output?

Answer: A competitive firm determines its profit-maximizing level of output where marginal revenue equals marginal cost.

How does a competitive firm behave when it is making a positive profit?

Answer: A competitive firm will continue to produce output as long as its marginal revenue is greater than its marginal cost, earning a positive profit.

What happens to a competitive firm's profits if it produces less output than the profit-maximizing level?

Answer: If a competitive firm produces less output than the profit-maximizing level, its profits will decrease.

How does a competitive firm determine its output in the short run?

Answer: In the short run, a competitive firm determines its output by equating marginal revenue with marginal cost and choosing the quantity that maximizes its profit.

What is the demand and marginal revenue faced by a competitive firm?

Answer: In a perfectly competitive market, a competitive firm faces a perfectly elastic demand curve, meaning that it can sell all units at the market price.

How does a competitive firm choose its output level in the short run?

Answer: A competitive firm chooses its output level in the short run where marginal revenue equals marginal cost, maximizing its profit.

What happens to a competitive firm's profit if it produces more than the profit-maximizing level?

Answer: If a competitive firm produces more than the profit-maximizing level, its profit will decrease.

How does a competitive firm make a positive profit in the short run?

Answer: A competitive firm makes a positive profit in the short run when its average revenue exceeds average variable cost.

What does the intersection of marginal cost and marginal revenue represent for a competitive firm?

Answer: The intersection of marginal cost and marginal revenue represents the profit-maximizing level of output for a competitive firm.

What are the three guidelines for estimating marginal cost in a perfectly competitive market?

Answer: The three guidelines for estimating marginal cost in a perfectly competitive market are:

- a) Profit is maximized when $MC = MR$.
- b) If $P > ATC$, the firm is making profits.
- c) If $AVC < P < ATC$, the firm should produce at a loss.
- d) If $P < AVC < ATC$, the firm should shut down.

Why should average variable cost not be used as a substitute for marginal cost?

Answer: Average variable cost cannot be used as a substitute for marginal cost because average variable cost includes fixed costs, whereas marginal cost represents the additional cost of producing one more unit.

How does a competitive firm determine its short-run supply curve?

Answer: The short-run supply curve for a competitive firm is determined by plotting the amount of output the firm is willing to supply at different price levels, considering that price is equal to marginal cost.

Why does the supply curve slope upwards for a competitive firm?

Answer: The supply curve for a competitive firm slopes upwards because the firm is willing to supply more output at higher prices, as it can cover higher production costs and earn higher profits.

How does a firm respond to a change in the price of its product in the short run?

Answer: When the price of a firm's product changes in the short run, the firm adjusts its output level to ensure that the marginal cost of production remains equal to the new price.

What does a stepped marginal cost (MC) function indicate in the short-run production of petroleum products?

Answer: A stepped marginal cost (MC) function in the short-run production of petroleum products indicates that the production process changes at various capacity levels, leading to different cost structures.

How does a stepped MC function affect the firm's output response to small changes in price?

Answer: With a stepped MC function, small changes in price may not trigger a change in output as the production process changes at different capacity levels, leading to discrete adjustments.

What does the short-run market supply curve show?

Answer: The short-run market supply curve shows the amount of output that the entire industry will produce in the short run for every possible price.

How is industry supply in the short run determined in a perfectly competitive market?

Answer: The industry supply in the short run in a perfectly competitive market is the horizontal summation of individual firm supply curves at different price levels.

Why does the industry supply curve in the short run slope upwards for a perfectly competitive market?

Answer: The industry supply curve in the short run slopes upwards because individual firms are willing to supply more output at higher prices, resulting in an overall increase in industry supply.

Lecture # 24

What is perfectly inelastic short-run supply?

Answer: Perfectly inelastic short-run supply occurs when the industry's plant and equipment are fully utilized, and new plants must be built to achieve greater output.

When does perfectly elastic short-run supply arise?

Answer: Perfectly elastic short-run supply arises when marginal costs are constant.

What are the annual production and marginal cost of copper for Australia?

Answer: Annual production: 600 thousand metric tons, Marginal cost: \$0.65 per pound.

How is producer surplus calculated in the short run?

Answer: Producer surplus in the short run is the sum of the difference between the market price of the good and the marginal cost of production for all units produced.

What is the assumption made in the long run regarding a firm's inputs and plant size?

Answer: In the long run, a firm can alter all its inputs, including the size of the plant, assuming free entry and free exit.

What does producer surplus represent in the long run?

Answer: Producer surplus in the long run is the difference between the market price and the supply price (marginal cost) for all units produced.

What is the difference between accounting profit and economic profit?

Answer: Accounting profit (π) considers only explicit costs like labor, while economic profit (π) includes both explicit and implicit costs (opportunity cost of capital).

When does zero economic profit occur?

Answer: Zero economic profit occurs when total revenue (R) is equal to total costs (including opportunity cost of capital and labor cost).

How do firms respond to short-run profits in the long run?

Answer: Firms respond to short-run profits in the long run by increasing output and attracting more producers, which increases industry supply and lowers the market price.

What happens to the market price when more producers enter the industry?

Answer: When more producers enter the industry, the market price lowers due to the increased industry supply.

Lecture # 25

What are the conditions for long-run competitive equilibrium?

Answer: Long-run competitive equilibrium occurs when $MC = MR$, $P = LAC$, and there is no incentive for firms to enter or leave the market ($\text{profit} = 0$).

What is economic rent, and how is it calculated?

Answer: Economic rent is the difference between what firms are willing to pay for an input and the minimum amount necessary to obtain it. It is calculated by subtracting the zero cost for the input from the price firms are willing to pay.

Why do firms earn zero economic profit in long-run equilibrium?

Answer: Firms earn zero economic profit in long-run equilibrium because the cost of production (LAC) is equal to the price in the market. Any surplus profit attracts new firms, increasing supply and lowering the market price until profit becomes zero.

What are the assumptions for determining the long-run supply curve?

Answer: The assumptions for determining the long-run supply curve are that all firms have access to the available production technology, output increases by using more inputs (not by invention), and the market for inputs remains constant with industry expansions and contractions.

What is the long-run supply curve like in a constant-cost industry?

Answer: In a constant-cost industry, the long-run supply curve is a horizontal line at a price that is equal to the minimum average cost of production (LRAC).

How does the long-run supply curve change in an increasing-cost industry?

Answer: In an increasing-cost industry, the long-run supply curve is upward sloping, indicating that as industry output increases, the input costs rise, leading to higher equilibrium prices.

What is the long-run supply curve like in a decreasing-cost industry?

Answer: In a decreasing-cost industry, the long-run supply curve is downward sloping, showing that as industry output increases, the input costs decrease, resulting in lower equilibrium prices.

Lecture # 26

In a constant-cost industry, what is the shape of the long-run supply curve, and why?

Answer: The long-run supply curve is horizontal in a constant-cost industry because small increases in price induce an extremely large output increase, and long-run supply elasticity is infinitely large.

What can be predicted about the elasticity of supply in an increasing-cost industry?

Answer: In an increasing-cost industry, the long-run supply curve is upward-sloping, and the elasticity of supply is positive. The slope (elasticity) depends on the rate of increase in input cost.

Describe the long-run elasticity of supply in a decreasing-cost industry.

Answer: In a decreasing-cost industry, the long-run supply curve is downward-sloping, indicating that as industry output increases, input costs decrease, leading to lower equilibrium prices.

In the long-run supply of housing, what is the difference between scenario 1 (owner-occupied housing) and scenario 2 (rental property)?

Answer: Scenario 1 is an increasing-cost industry, while scenario 2 is a constant-cost industry. In scenario 1, the elasticity of supply is positive, and in scenario 2, the elasticity of supply is infinite.

How does an output tax affect a competitive firm's output?

Answer: An output tax raises the firm's marginal cost by the amount of the tax, causing the firm to reduce its output until the marginal cost plus the tax equals the price.

What is consumer surplus and producer surplus in the context of evaluating government policies?

Answer: Consumer surplus is the total benefit or value that consumers receive beyond what they pay for a good. Producer surplus is the total benefit or revenue that producers receive beyond what it costs to produce a good.

What are the welfare effects of a governmental policy in terms of consumer and producer surplus?

Answer: To determine the welfare effect, we measure the gain or loss in consumer and producer surplus resulting from the policy.

What is the deadweight loss in the context of price controls and government intervention?

Answer: The deadweight loss is the inefficiency of price controls or the loss of producer surplus that exceeds the gain from consumer surplus.

When does a net loss in consumer surplus occur in the case of price controls?

Answer: A net loss in consumer surplus can occur when the demand is sufficiently inelastic.

What are externalities in competitive markets, and how do they impact efficiency?

Answer: Externalities are costs or benefits that do not show up as part of the market price, such as pollution. They can create inefficiencies in competitive markets.

What is the impact of lack of information on consumer decision-making in competitive markets?

Answer: Imperfect information prevents consumers from making utility-maximizing decisions, which can lead to inefficiencies in the market.

How can government intervention in markets increase efficiency?

Answer: Government intervention can address externalities and information asymmetry, leading to a more efficient allocation of resources.

When does government intervention without market failure create inefficiency or deadweight loss?

Answer: Government intervention without market failure can create inefficiency or deadweight loss when it interferes with market mechanisms and disrupts the equilibrium between supply and demand.

What type of industry will have an upward-sloping long-run supply curve?

Answer: An increasing-cost industry will have an upward-sloping long-run supply curve.

In a constant-cost industry, what happens to the long-run supply when prices increase?

Answer: In a constant-cost industry, even a small increase in price will induce an extremely large output increase, and long-run supply remains horizontal.

Lecture # 27

What is the welfare loss if the price is held below the market-clearing level?

Answer: The welfare loss is represented by the deadweight loss given by triangles B and C on the graph.

What is the welfare loss if the price is held above the market-clearing level?

Answer: The welfare loss is given by triangles B and C on the graph when the price is regulated to be no lower than P_2 .

What is a price floor, and how does it affect the market?

Answer: A price floor is a government-imposed minimum price set above the equilibrium price. It can lead to excess supply and deadweight loss.

What is the deadweight loss when quantity supplied (QS) is equal to Q_2 ?

Answer: The deadweight loss would be represented by triangles B and C on the graph.

What is the impact of a price floor on the minimum wage?

Answer: A price floor can be applied to the minimum wage, leading to unemployment as firms are not allowed to pay less than the minimum wage (w_{min}).

What were the major changes in the U.S. airline industry during 1976-1981?

Answer: The airline industry in the U.S. experienced major changes due to deregulation, leading to new airlines entering the market and some airlines merging or going out of business.

How does deregulation affect airline prices and consumer surplus?

Answer: Deregulation led to airline prices falling to P_0 , and the change in consumer surplus is represented by areas A and B on the graph.

What does area D represent in the graph after airline deregulation?

Answer: Area D represents the cost of unsold output in the airline industry after deregulation.

What are the consequences of the minimum wage in terms of unemployment?

Answer: The minimum wage results in unemployment as firms are not allowed to pay wages below the minimum wage (w_{min}).

How does a price floor affect the quantity demanded in the market?

Answer: When the price is regulated to be no lower than P_2 , only Q_3 will be demanded, leading to a decrease in quantity demanded.

What is the deadweight loss given by when price is regulated to be no higher than P_1 ?

Answer: The deadweight loss is represented by triangles B and C on the graph when the price is regulated to be no higher than P_1 .

How did airline regulation by the Civil Aeronautics Board impact prices and consumer surplus?

Answer: After deregulation, airline prices fell to P_0 , and the change in consumer surplus is given by areas A and B on the graph.

What is the impact of excess supply due to a price floor?

Answer: Excess supply occurs when the price floor is set above the equilibrium price, leading to a surplus in the market.

What is the purpose of setting a price floor above the equilibrium price?

Answer: The purpose of setting a price floor is often to protect producers and ensure they receive a certain minimum price for their goods or services.

How did the airline industry change after deregulation?

Answer: After deregulation, the airline industry experienced increased competition as new airlines entered the market, and some existing airlines merged or went out of business.

Lecture # 28

How can the government increase farmer's income by A + B + D?

Answer: The government can increase farmer's income by implementing price supports, where they buy a quantity Q_g of the product to maintain a price P_s .

What are production quotas, and how do they affect prices?

Answer: Production quotas are restrictions on the quantity of a product that can be produced. They reduce supply, leading to an increase in prices.

What is the impact of controlling entry into the taxicab market?

Answer: Controlling entry into the taxicab market can lead to a fixed supply, which may result in higher prices for consumers.

How does the government subsidize farmers with price supports?

Answer: The government subsidizes farmers by buying a quantity Q_g of the product to maintain a price P_s , which results in an increase in producer surplus.

How can the government reduce the cost and still subsidize the farmer?

Answer: The government could reduce the cost by implementing more efficient and targeted subsidy programs for farmers.

Which is more costly: price supports or acreage limitations?

Answer: Both price supports and acreage limitations have costs, but the comparison depends on the specific context and magnitude of the support or limitation.

What is the change in consumer and producer surplus with supply restrictions?

Answer: The change in consumer and producer surplus with supply restrictions is the same as with price supports, resulting in a deadweight loss of $-B - C$.

How did the government support the price of wheat in 1981?

Answer: The government supported the price of wheat in 1981 by buying 122 million bushels, which increased the market-clearing price.

What was the total cost and total gain from supporting the price of wheat in 1981?

Answer: The total cost was \$1,076 million, and the total gain was \$638 million.

How did the government increase the price of wheat in 1985?

Answer: In 1985, the government bought 466 million bushels and imposed a production quota of 2,425 bushels to increase the price of wheat.

How did the government support the price of wheat in 1985?

Answer: In 1985, the government used both a purchase of 466 million bushels and an 80 cent subsidy to support the price of wheat.

What are import quotas and tariffs used for?

Answer: Import quotas and tariffs are used by many countries to keep the domestic price of a product above world levels.

What is the impact of import quotas or tariffs on consumers and producers?

Answer: Import quotas and tariffs can benefit domestic producers (represented by area A) but lead to losses for consumers ($A + B + C + D$).

How does a tariff impact the government?

Answer: With a tariff, the government gains revenue represented by area D, but the net domestic product loss is $B + C$.

How does a quota impact the government?

Answer: With a quota, the government doesn't gain revenue from D, so the net domestic product loss is $B + C + D$.

Lecture # 29

What is the difference between the world price of sugar and the U.S. price in 1997?

Answer: The world price of sugar was 11 cents per pound, while the U.S. price was 22 cents per pound.

What is the impact of a restricted sugar market in 1997?

Answer: The restricted sugar market led to a deadweight loss of \$800 million represented by triangles B and C.

How much gain did foreign producers receive from sugar quota allotments in 1997?

Answer: Foreign producers received a gain of \$600 million represented by rectangle D.

What was the cost of the sugar quotas to consumers in 1997?

Answer: The cost of the sugar quotas to consumers was \$2.4 billion.

How is the burden of a tax (or benefit of a subsidy) divided between consumers and producers?

Answer: The burden of a tax (or benefit of a subsidy) is split evenly between consumers and producers.

What are the four conditions that must be satisfied after implementing a tax?

Answer: The four conditions are: Quantity sold and P_b must be on the demand line, Quantity sold and P_s must be on the supply line, $Q_D = Q_S$, and $P_b - P_s = \text{tax}$.

What is the pass-through fraction, and how does it impact the tax incidence?

Answer: The pass-through fraction ($ES/(ES - Ed)$) determines how the tax burden is divided between consumers and producers. If demand is perfectly inelastic ($Ed = 0$), all the tax is borne by the consumer.

How is a subsidy treated in comparison to a tax?

Answer: A subsidy can be treated as a negative tax, where the seller's price is below the buyer's price.

How is the burden of a \$0.50 gasoline tax split between buyers and sellers?

Answer: The burden of the \$0.50 gasoline tax is evenly split between buyers and sellers. Buyers pay 22 cents, and sellers pay 28 cents.

How does the benefit of a subsidy depend on the elasticities of supply and demand?

Answer: The benefit of a subsidy depends on the ratio of Ed to ES . If the ratio is small, most of the benefit goes to the consumer. If the ratio is large, the producer benefits most.

What was the annual revenue from the \$0.50 gasoline tax?

Answer: The annual revenue from the \$0.50 gasoline tax was \$44.5 billion.

How much deadweight loss resulted from the \$0.50 gasoline tax?

Answer: The deadweight loss from the \$0.50 gasoline tax was \$2.75 billion per year.

What was the price difference between the subsidized price and the selling price in the gasoline example?

Answer: The price difference between the subsidized price (PS) and the selling price (Pb) was 50 cents.

How much of the gasoline tax was borne by buyers and sellers?

Answer: Buyers paid 22 cents of the gasoline tax, and sellers paid 28 cents.

What was the lost consumer surplus and producer surplus in the gasoline example?

Answer: The lost consumer surplus was represented by area A, and the lost producer surplus was represented by area D.

What was the total welfare loss in the gasoline example?

Answer: The total welfare loss in the gasoline example was \$2.75 billion per year.

How is the burden of a subsidy divided between buyers and sellers?

Answer: The burden of a subsidy is split between buyers and sellers based on the elasticities of supply and demand.

How does a subsidy impact the price of a product?

Answer: A subsidy decreases the selling price (Pb) below the subsidized price (PS).

What is the impact of a specific tax on the market?

Answer: A specific tax falls partly on the consumer and partly on the producer, and the impact depends on the elasticities of supply and demand.

How does the pass-through fraction affect the tax incidence?

Answer: The pass-through fraction determines the distribution of the tax burden between consumers and producers.

Lecture # 30

What are the characteristics of perfect competition?

Answer: The characteristics of perfect competition include many buyers and sellers, a homogeneous product, perfect information, and firms being price takers.

How does a monopolist differ from a perfectly competitive firm?

Answer: A monopolist is a single seller facing many buyers with no close substitutes for its product, while a perfectly competitive firm is one of many sellers in the market with identical products.

What determines the output level for a monopolist?

Answer: A monopolist determines its output level by maximizing profits, where marginal revenue equals marginal cost.

At what level of output does a monopolist maximize profits?

Answer: A monopolist maximizes profits when marginal revenue equals marginal cost.

What is the relationship between marginal revenue (MR) and price (P) for a monopolist?

Answer: For a monopolist, marginal revenue is less than price ($MR < P$).

How does a monopolist determine its output and price?

Answer: As a sole producer, a monopolist works with market demand to determine its output and price.

What is the condition for profit maximization for a monopolist?

Answer: A monopolist maximizes profit by producing the output level where marginal revenue (MR) equals marginal cost (MC).

How can you identify the profit-maximizing output level on a graph?

Answer: On a graph, the profit-maximizing output level occurs where the marginal revenue (MR) curve intersects with the marginal cost (MC) curve.

How does the output level affect revenue and cost for a monopolist?

Answer: At output levels below $MR = MC$, the decrease in revenue is greater than the decrease in cost, and at output levels above $MR = MC$, the increase in cost is greater than the decrease in revenue.

What happens to sales and price for a monopolist to increase sales?

Answer: To increase sales, a monopolist must lower the price.

What is the profit-maximizing output level in the example of a monopolist?

Answer: In the example, the profit-maximizing output level is 10 units with a price of \$30.

How can you identify the point of profit maximization graphically?

Answer: Graphically, the point of profit maximization occurs where the marginal cost (MC) curve intersects with the marginal revenue (MR) curve.

How do you calculate the profit for a monopolist?

Answer: The profit for a monopolist can be calculated as total revenue (TR) minus total cost (TC).

What is the relationship between price (P) and average cost (AC) for a monopolist at the profit-maximizing output?

Answer: At the profit-maximizing output, price (P) equals average cost (AC).

How do you calculate the profit for a monopolist using price and average cost?

Answer: The profit for a monopolist can be calculated as $(P - AC)$ times the quantity of output.

What are the profit and output level in the second example of profit maximization?

Answer: In the second example, the profit-maximizing output level is 10 units, and the profit is \$150.

How is the profit calculated in the second example?

Answer: The profit is calculated as total revenue (TR) minus total cost (TC), which is $\$300 - \$150 = \$150$.

How is the profit calculated differently using price and average cost in the second example?

Answer: The profit can also be calculated as $(P - AC)$ times the quantity, which is $(\$30 - \$15)$ times 10 units, which also equals \$150.

How is the profit-maximizing output level represented on the graph in the second example?

Answer: The profit-maximizing output level is where the marginal cost (MC) curve intersects with the average cost (AC) curve, and it is also where the marginal revenue (MR) curve intersects with the demand (D) curve.

What happens to the profit if the output level deviates from the profit-maximizing level?

Answer: If the output level is below or above the profit-maximizing level, the profit will decrease.

Lecture # 31

What is the rule of thumb for pricing in a monopoly?

Answer: The rule of thumb for pricing in a monopoly is that the markup over marginal cost as a percentage of price $(P-MC)/P$ should equal the inverse of the elasticity of demand (Ed) .

How does monopoly pricing compare to perfect competition pricing?

Answer: In monopoly, the price is higher than marginal cost ($P > MC$), whereas in perfect competition, price equals marginal cost ($P = MC$).

How does the elasticity of demand affect the price in a monopoly?

Answer: The more elastic the demand (larger negative value of Ed), the closer the price is to marginal cost, and vice versa.

What is the monopolist's output decision based on?

Answer: The monopolist's output decision is based on maximizing profit, where marginal revenue equals marginal cost.

What determines the market supply curve in perfect competition?

Answer: In perfect competition, the market supply curve is determined by marginal cost.

What determines output for a monopoly?

Answer: For a monopoly, output is determined by marginal cost and the shape of the demand curve.

How does a shift in demand affect price and output in a monopolistic market?

Answer: A shift in demand can cause a change in both price and quantity in a monopolistic market.

Does a monopolist have a supply curve?

Answer: No, a monopolistic market does not have a supply curve.

How can a tax impact monopoly pricing?

Answer: Under a monopoly, the price may rise by more than the amount of the tax due to changes in optimal production decisions.

What happens to price and profits when the elasticity of demand is -2?

Answer: When the elasticity of demand is -2, the price increases by twice the amount of the tax, and profits may change accordingly.

What determines a monopolist's pricing decision?

Answer: A monopolist's pricing decision is determined by the rule of thumb pricing, which sets the markup over marginal cost equal to the inverse of the elasticity of demand.

What is the relationship between price and marginal cost in monopoly pricing?

Answer: In monopoly pricing, the price is set above marginal cost.

How does a tax affect the monopolist's production decision?

Answer: A tax leads to a change in the monopolist's production decision, with marginal cost increasing by the amount of the tax.

How does a shift in demand affect quantity supplied in a monopoly?

Answer: In a monopoly, a shift in demand can lead to changes in both price and quantity supplied.

What determines the output level for a monopolist?

Answer: A monopolist determines its output level by maximizing profits, where marginal revenue equals marginal cost.

Lecture # 32

In a multiplant firm, what conditions should be met for output and costs in each plant?

Answer: The marginal cost in each plant should be equal, and the marginal cost should equal the marginal revenue for each plant.

What is the rule of thumb for pricing in a multiplant firm?

Answer: The rule of thumb for pricing in a multiplant firm is that the marginal cost in each plant should be equal, and it should equal the marginal revenue for each plant.

How does a monopoly differ from a competitive market?

Answer: In a monopoly, price exceeds marginal cost, whereas in a competitive market, price equals marginal cost.

In a scenario with four firms having equal shares in the market, how do they behave when price exceeds marginal cost?

Answer: In a market with four firms having equal shares, they will behave in a way that price exceeds marginal cost.

What does Lerner's index of monopoly power (L) measure, and how is it expressed?

Answer: Lerner's index of monopoly power (L) measures the degree of monopoly power, and it is expressed as $(P - MC)/P$, where P is price and MC is marginal cost.

What does a larger value of L (Lerner's index) indicate?

Answer: A larger value of L indicates a greater degree of monopoly power.

Does monopoly power guarantee profits?

Answer: No, monopoly power does not guarantee profits. Profit depends on average cost relative to price.

How does elasticity of demand affect the pricing strategy in supermarkets?

Answer: In supermarkets, the more elastic the demand, the less the markup over marginal cost.

What differentiates convenience stores from supermarkets in terms of pricing strategy?

Answer: Convenience stores have higher prices than supermarkets, and their markup over marginal cost is higher.

What factors determine a firm's monopoly power?

Answer: A firm's monopoly power is determined by the elasticity of market demand, the number of firms, and the interaction among firms.

How does the elasticity of demand affect the markup pricing of designer jeans?

Answer: Designer jeans, with an elasticity of demand between -3 to -4, have prices 33 - 50% higher than marginal cost.

What influences a firm's monopoly power?

Answer: A firm's monopoly power is influenced by its elasticity of demand, the number of competing firms, and the interactions among them.

In a multiplant firm, what conditions should be met for marginal cost in each plant?

Answer: In a multiplant firm, the marginal cost in each plant should be equal.

How is the rule of thumb for pricing in a multiplant firm expressed?

Answer: The rule of thumb for pricing in a multiplant firm is expressed as the condition that the marginal cost in each plant should equal the marginal revenue for each plant.

What does a monopoly power of $L=1$ mean?

Answer: A monopoly power of $L=1$ means that the price charged by the firm is twice the marginal cost.

Lecture # 33

Does monopoly power result in higher prices and lower quantities?

Answer: Yes, monopoly power results in higher prices and lower quantities.

Is the aggregate welfare of consumers and producers better or worse off with monopoly power?

Answer: The aggregate welfare of consumers and producers is worse off with monopoly power.

What is the deadweight loss from monopoly power?

Answer: Deadweight loss from monopoly power is the loss of consumer and producer surplus due to higher prices and lower quantities.

How do firms seek monopoly power, and what activities may they engage in?

Answer: Firms may spend on activities like lobbying, advertising, and building excess capacity to gain monopoly power.

What determines the incentive to engage in monopoly practices?

Answer: The incentive to engage in monopoly practices is determined by the profit to be gained.

How does price regulation affect a monopoly compared to a competitive market?

Answer: In competitive markets, price regulation creates a deadweight loss, and the same is true for a monopoly.

What is a natural monopoly, and how can its price be regulated?

Answer: A natural monopoly is a firm that can produce the entire output of an industry at a lower cost than if there were several firms. Its price can be regulated using rate-of-return regulation, setting a maximum price based on expected return.

Why is it difficult to estimate the cost and demand functions for a natural monopoly?

Answer: It is difficult to estimate the cost and demand functions for a natural monopoly because they change with evolving market conditions.

What is monopsony, and how does it affect the price of a good?

Answer: Monopsony is a market with a single buyer. It allows the buyer to affect the price of the good and pay less than in a competitive market.

What is the difference between a competitive buyer and a competitive seller?

Answer: A competitive buyer is a price taker, while a competitive seller is a price maker.

How does a monopsonist buyer behave compared to a competitive buyer?

Answer: A monopsonist buyer pays less than the price in a competitive market and affects the market price.

How does a monopoly and a monopsony differ in terms of price and quantity?

Answer: In a monopoly, price exceeds marginal cost and quantity is less than in a competitive market, while in a monopsony, price is lower, and quantity is less than in a competitive market.

What happens to the price and quantity in a monopsony compared to a competitive market?

Answer: In a monopsony, the price is lower, and the quantity is less than in a competitive market.

What happens to the price and quantity in a monopoly compared to a competitive market?

Answer: In a monopoly, the price is higher, and the quantity is lower than in a competitive market.

How does the behavior of a monopolist buyer differ from a competitive buyer?

Answer: A monopolist buyer pays a lower price and affects the market price, while a competitive buyer pays the market price.

Lecture # 34

What is monopsony power, and how does it affect prices?

Answer: Monopsony power is the ability of a few buyers to influence prices and pay less than marginal value.

What are the factors that determine the degree of monopsony power?

Answer: The degree of monopsony power depends on the elasticity of market supply, the number of buyers, and the interaction among buyers.

How is deadweight loss determined in a monopsony?

Answer: Deadweight loss in a monopsony is determined by the change in welfare, which is the sum of changes in seller's and buyer's surplus.

What do antitrust laws aim to promote?

Answer: Antitrust laws aim to promote a competitive economy by prohibiting actions that restrain competition and restricting certain forms of market structures.

How is pricing with market power different from perfect competition?

Answer: Pricing with market power requires the individual producer to know more about the characteristics of demand and manage production, while perfect competition is determined by market supply and demand.

How can a firm capture consumer surplus and sell profitably in different situations?

Answer: A firm can capture consumer surplus and sell profitably through price discrimination, bundling, and two-part tariffs.

What is price discrimination, and how does it work?

Answer: Price discrimination is charging different prices to different consumers for similar goods. It works by segmenting the market based on consumers' willingness to pay.

What is first-degree price discrimination, and why is it difficult to achieve?

Answer: First-degree price discrimination involves charging each customer their maximum or reservation price. It is difficult to achieve due to practical limitations in estimating each customer's reservation price.

Provide examples of imperfect price discrimination.

Answer: Examples of imperfect price discrimination include lawyers, doctors, accountants, and car salespersons.

What is second-degree price discrimination, and how does it work?

Answer: Second-degree price discrimination involves setting different prices for different quantities purchased. It works well in industries with economies of scale.

How do colleges and universities practice first-degree price discrimination?

Answer: Colleges and universities often charge different tuition fees based on students' ability to pay, which is a form of first-degree price discrimination.

What benefit does second-degree price discrimination offer for industries with economies of scale?

Answer: Second-degree price discrimination allows industries with economies of scale to increase consumer welfare and achieve higher profits by offering tiered pricing based on quantity purchased.

What is the purpose of antitrust laws?

Answer: Antitrust laws aim to promote competition in the economy and prevent monopolistic practices that could harm consumers and reduce competition.

How does pricing with market power differ from pricing in perfect competition?

Answer: Pricing with market power involves the individual producer knowing more about demand characteristics and managing production, while perfect competition relies on market supply and demand.

What is deadweight loss, and how is it determined in a monopsony?

Answer: Deadweight loss is the loss of consumer and producer surplus due to market inefficiency. In a monopsony, it is determined by the change in welfare, which considers changes in seller's and buyer's surplus.

What factors determine the degree of monopsony power?

Answer: The degree of monopsony power is determined by the elasticity of market supply, the number of buyers, and the level of competition among buyers.

How can firms capture consumer surplus and sell profitably?

Answer: Firms can capture consumer surplus and sell profitably through price discrimination, bundling, and two-part tariffs.

What is first-degree price discrimination, and why is it difficult to achieve?

Answer: First-degree price discrimination involves charging each customer their maximum willingness to pay. It is difficult to achieve because it requires precise knowledge of each customer's reservation price.

Give examples of industries where price discrimination is practiced.

Answer: Price discrimination is practiced in industries like lawyers, doctors, accountants, and car salespersons, where consumers have different willingness to pay.

What is second-degree price discrimination, and how does it work?

Answer: Second-degree price discrimination involves offering different pricing for different quantities purchased. It allows industries with economies of scale to increase consumer welfare and profits.

Lecture # 35

What is third-degree price discrimination, and what are some examples?

Answer: Third-degree price discrimination divides the market into two groups with different demand functions. Examples include airlines, vegetables, and discounts to students and senior citizens.

When is third-degree price discrimination feasible?

Answer: Third-degree price discrimination is feasible when the seller can segment the market into groups with different price elasticities of demand, such as business air travelers versus vacation air travelers.

What is the objective of third-degree price discrimination?

Answer: The objective is to set prices for each group in a way that maximizes overall profit.

How is relative pricing determined in third-degree price discrimination?

Answer: Relative pricing is determined by considering the price elasticities of demand for each group. Prices are set higher for the group with lower demand elasticity.

Why might a firm not sell to both groups in third-degree price discrimination?

Answer: If marginal cost is rising, it may not be profitable to sell to both groups.

How do coupons and rebates allow firms to engage in price discrimination?

Answer: Coupons and rebates allow firms to target more price-sensitive consumers (users) and less price-sensitive consumers (nonusers) differently.

What is the relationship between coupon use and price elasticity of demand?

Answer: Consumers who are more price elastic are more likely to use coupons when purchasing a product.

How can firms determine the pricing strategy for coupon users and nonusers?

Answer: Firms can set prices based on the price elasticities of demand for coupon users and nonusers.

What is the difference between the price elasticity of demand for cake mix users and nonusers?

Answer: The price elasticity of demand for cake mix users is -0.43, while for nonusers, it is -0.21.

How can firms adjust prices for coupon users and nonusers based on their price elasticities of demand?

Answer: Prices for nonusers should be higher than for users based on their respective price elasticities of demand.

What is the main objective of third-degree price discrimination?

Answer: The main objective is to maximize overall profit by setting prices for each group based on their demand characteristics.

What are some examples of third-degree price discrimination?

Answer: Examples include offering discounts to students and senior citizens, as well as different pricing for different customer groups.

What conditions must be met for third-degree price discrimination to be feasible?

Answer: Third-degree price discrimination is feasible when the seller can segregate the market into groups with different price elasticities of demand.

How can firms determine the relative prices for each group in third-degree price discrimination?

Answer: Firms can determine relative prices by considering the price elasticities of demand for each group.

Why might a firm not choose to sell to both groups in third-degree price discrimination?

Answer: If the marginal cost of production is increasing, it may not be profitable to sell to both groups.

How do coupons and rebates enable firms to practice price discrimination?

Answer: Coupons and rebates allow firms to offer discounts to more price-sensitive consumers while charging higher prices to less price-sensitive consumers.

What is the relationship between coupon use and price elasticity of demand?

Answer: Consumers with higher price elasticity of demand are more likely to use coupons to take advantage of discounts.

How can firms determine pricing strategies for coupon users and nonusers?

Answer: Firms can set prices based on the different price elasticities of demand for coupon users and nonusers.

What is the difference in price elasticity of demand between cake mix users and nonusers?

Answer: The price elasticity of demand for cake mix users is -0.43, while for nonusers, it is -0.21.

How can firms adjust prices for coupon users and nonusers based on their price elasticities of demand?

Answer: Prices for nonusers should be higher than for users based on their respective price elasticities of demand.

Lecture # 36

How do differences in price elasticities of demand impact airline fares?

Answer: Business travelers, with less elastic demand, pay higher fares compared to more price-sensitive casual travelers.

How do airlines separate the market to set various fare restrictions?

Answer: Airlines set restrictions on tickets such as non-refundable fares or weekend stays to differentiate prices for different customer segments.

How does intertemporal price discrimination work in the airline industry?

Answer: Airlines lower prices over time to appeal to a general market with more elastic demand after the initial release of a product or service.

What are some examples of products with peak-load pricing?

Answer: Examples include rush hour traffic, electricity during summer, and restaurants on weekends.

How can capacity restraints impact peak-load pricing?

Answer: Capacity restraints increase marginal cost (MC) and may lead to higher prices in peak-demand periods.

How can a company price a best-selling novel for the initial hardbound edition?

Answer: The price for the initial hardbound edition may be set based on market research, production costs, and expected demand.

How does the popularity of a book impact the decision to release a paperback edition?

Answer: High popularity may lead to a longer delay in releasing the paperback to maximize sales of the more expensive hardbound edition.

What factors should be considered when determining the price for the paperback edition of a book?

Answer: Factors include the popularity of the book, demand elasticity, production costs, and competition.

What is a two-part tariff, and what are some examples?

Answer: A two-part tariff involves separating the purchase of a product or service into two decisions, each with its own price. Examples include amusement parks and tennis clubs.

How does the two-part tariff pricing decision work for an amusement park?

Answer: The pricing decision involves setting the entry fee (T) and the usage fee (P) for rides and food within the park.

How can a company determine the optimal combination of entry fee (T) and usage fee (P) for a two-part tariff?

Answer: Companies must consider the trade-off between higher entry fees and lower usage fees or vice versa to maximize profit.

What strategy should be used for similar demand in a two-part tariff?

Answer: For similar demand, choose a price close to marginal cost (MC) and a higher entry fee (T).

How does a two-part tariff work with a twist, such as free units with the entry price (T)?

Answer: With the twist, the entry fee (T) entitles the buyer to a certain number of free units of the product, such as razors with blades or amusement parks with tokens.

What considerations should be made when using a two-part tariff with multiple consumers?

Answer: There is no exact way to determine the optimal combination of P^* and T^* , so companies must choose based on the trade-off between entry fee and usage fee to maximize profit.

How can airlines set different fares for business travelers and casual travelers based on their demand elasticity?

Answer: Airlines can offer lower fares with more restrictions (e.g., non-refundable tickets) to business travelers (less elastic demand) and higher fares with fewer restrictions to casual travelers (more elastic demand).

What are the elasticities of demand for first-class, economy plus, and economy air travel?

Answer: First-class has a price elasticity of -0.3, economy plus -0.4, and economy -0.9.

How do airlines use different fare restrictions to target different customer segments?

Answer: Airlines set restrictions on tickets (e.g., refundable/non-refundable, stay-over weekends) to appeal to business travelers and casual travelers differently.

What is the objective of intertemporal price discrimination?

Answer: The objective is to maximize overall profit by adjusting prices over time based on changes in demand elasticity.

How can a company determine the optimal combination of entry fee and usage fee in a two-part tariff?

Answer: Companies should experiment with different combinations of entry fee (T) and usage fee (P) to find the one that maximizes profit.

What is the key consideration in setting prices for a best-selling novel in both hardbound and paperback editions?

Answer: Companies must consider demand, production costs, and market conditions to set prices that maximize profit for each edition.

Lecture # 37

What is bundling in pricing with market power?

Answer: Bundling is packaging two or more products together to gain a pricing advantage.

What conditions are necessary for bundling to be effective?

Answer: Bundling requires heterogeneous customers, the absence of price discrimination, and negatively correlated demands.

How can bundling increase revenue in a movie theater example?

Answer: By bundling movies X and Y, theaters A and B pay higher prices, resulting in increased revenue compared to selling the movies separately.

What is the key factor in determining whether bundling will be profitable?

Answer: The correlation between the demands of the bundled products is crucial in determining bundling profitability.

How does negative correlation between demands affect bundling effectiveness?

Answer: Negative correlation allows for more efficient price discrimination and higher profits through bundling.

What are the reservation prices for two goods and how do they impact consumption decisions?

Answer: Reservation prices represent the maximum price a consumer is willing to pay for a good. Consumers decide to buy a good separately or as part of a bundle based on these reservation prices.

How does bundling influence consumption decisions for consumers with different reservation prices?

Answer: Consumers with reservation prices above the bundle price will buy the bundle, while those with prices below the bundle price will not.

What is the ideal correlation between the demands of two goods for bundling to be effective?

Answer: Negative correlation is ideal for bundling to be effective, allowing firms to extract more consumer surplus and increase profit.

How can bundling be effective in the movie example with negatively correlated demands?

Answer: Bundling movie X and Y is effective when there is negative correlation between the demands, allowing for higher profits.

What happens to bundling effectiveness when demands are perfectly positively correlated?

Answer: Bundling is not effective when demands are perfectly positively correlated, resulting in the same profit as selling goods separately.

How does the effectiveness of bundling depend on demand correlation?

Answer: Bundling effectiveness increases with greater negative correlation between demands and decreases with positive correlation.

How does bundling benefit from negative correlation in the movie example?

Answer: In the movie example, negative correlation (Movie X and Movie Y) allows for efficient bundling and higher profits.

How do reservation prices impact consumer decisions in a bundling scenario with two different goods?

Answer: Consumers buy the bundle when their combined reservation prices exceed the bundle price.

What determines whether consumers buy the bundle or not in a bundling scenario?

Answer: Consumers decide to buy the bundle based on their reservation prices and the bundle price.

How do region 1 and region 2 determine consumer choices in the bundling scenario?

Answer: In region 1, consumers buy the bundle, and in region 2, consumers do not buy the bundle.

What are the two critical factors in successful bundling?

Answer: Successful bundling requires heterogeneous customers and negative correlation between the demands of the bundled products.

How does bundling help in efficient price discrimination?

Answer: Bundling allows firms to extract more consumer surplus by offering different combinations of products at varying prices.

How can bundling increase revenue for the firm?

Answer: Bundling can increase revenue by selling multiple products together at a higher price than when sold individually.

What type of customers benefit from bundling?

Answer: Customers with higher willingness to pay for one product can benefit from bundling, as they can get a discount when buying multiple products together.

Why does bundling not work effectively with perfectly positively correlated demands?

Answer: In perfectly positively correlated demands, bundling does not allow for efficient price discrimination and does not result in increased revenue.

What reservation prices indicate that a consumer will buy the bundle?

Answer: A consumer will buy the bundle if their combined reservation prices for the bundled products exceed the bundle price.

How does the firm determine the bundle price for effective bundling?

Answer: The firm sets the bundle price based on consumer reservation prices to maximize profit.

How does bundling benefit the firm in the movie example with negatively correlated demands?

Answer: In the movie example, bundling allows the firm to extract more consumer surplus, resulting in higher profits.

How does negative correlation between demand for two goods influence bundling decisions?

Answer: Negative correlation allows for more efficient price discrimination, making bundling more profitable.

What reservation prices will make bundling profitable for the firm in the movie example?

Answer: In the movie example, the reservation prices for Movie X and Movie Y should be negatively correlated to make bundling profitable.

Lecture # 38

What is bundling, and what are the types of bundling?

Answer: Bundling is packaging two or more products together to gain a pricing advantage. The types of bundling are mixed bundling and pure bundling.

What is the difference between mixed bundling and pure bundling?

Answer: In mixed bundling, products are sold both as a bundle and separately, while in pure bundling, only the bundled package is sold.

What factors make mixed bundling profitable in a scenario with perfect negative correlation and significant marginal cost?

Answer: Mixed bundling induces consumers to buy products where their reservation price is greater than marginal cost, leading to increased profits.

How can bundling result in higher revenue compared to selling products separately?

Answer: Bundling allows firms to offer multiple products together at a higher price, increasing overall revenue.

What reservation prices indicate whether consumers will buy the bundle or not?

Answer: Consumers will buy the bundle if their combined reservation prices for the bundled products exceed the bundle price.

How does mixed bundling help firms maximize profit when marginal cost is zero?

Answer: When marginal cost is zero, mixed bundling can still be profitable due to consumer preferences and negative correlation between demands.

How does bundling benefit firms in practice in various industries?

Answer: Bundling is used in industries like automobile option packages, vacation travel, cable television, and more to offer customers more choices and increase utility.

What is tying, and what are some examples of tying in practice?

Answer: Tying is a practice requiring customers to purchase one product to buy another. Examples include Xerox machines and paper, IBM mainframe and computer cards, and McDonald's requiring specific menu items with Happy Meals.

How does tying help firms meter customers and implement two-part tariffs?

Answer: Tying allows firms to track customer purchases and use two-part tariffs to charge different prices based on usage.

How does advertising affect consumer demand and pricing decisions?

Answer: Advertising influences consumer demand and allows firms to choose optimal pricing and advertising expenditures to maximize profit.

What is the rule of thumb for advertising-to-sales ratio to maximize profit?

Answer: The firm's advertising-to-sales ratio should be equal to minus the ratio of advertising and price elasticities of demand.

How does advertising affect average and marginal revenue?

Answer: Advertising shifts average and marginal revenue curves to the right, resulting in increased average costs and unchanged marginal costs.

When should a firm increase advertising expenditure based on the rule of thumb?

Answer: A firm should increase advertising when the ratio of advertising and price elasticities of demand indicates a positive result.

How does the level of advertising expenditure change based on the magnitude of advertising and price elasticities of demand?

Answer: When EA (advertising elasticity) is large, the firm should advertise more, and when EP (price elasticity) is large, the firm should advertise less.

How do supermarkets, convenience stores, designer jeans, and laundry detergents determine their advertising levels?

Answer: Supermarkets and convenience stores have different levels of advertising based on their EP and EA, while designer jeans and laundry detergents have varying levels of advertising based on their specific EP and EA values.

What are the factors influencing effective bundling?

Answer: Effective bundling depends on heterogeneous customers and negative correlation between the demands of bundled products.

How does mixed bundling influence consumer choices and the firm's profitability?

Answer: Mixed bundling induces consumers to buy products for which their reservation price exceeds marginal cost, leading to increased profits for the firm.

What types of goods and services benefit from bundling in practice?

Answer: Goods and services like automobile option packages, vacation travel, and cable television often benefit from bundling.

How does bundling protect a firm's brand name?

Answer: Tying allows firms to protect their brand name by requiring customers to purchase specific products with the brand.

How does advertising elasticity of demand affect advertising decisions?

Answer: Advertising elasticity of demand indicates the responsiveness of consumer demand to changes in advertising expenditure, influencing firms' advertising decisions.

How does price elasticity of demand influence advertising decisions?

Answer: Price elasticity of demand indicates how consumer demand changes in response to price changes, impacting firms' advertising decisions.

How does the firm decide the price and advertising expenditure based on consumer preferences?

Answer: The firm can determine the price and advertising expenditure by estimating consumer reservation prices for representative samples.

How does mixed bundling allow consumers to maximize their utility?

Answer: Mixed bundling allows consumers to get maximum utility by providing more choices and options.

How does tying benefit firms in pricing and metering customers?

Answer: Tying allows firms to charge different prices based on customer usage and implement two-part tariffs.

What are some examples of products where tying is practiced?

Answer: Examples include Xerox machines and paper, IBM mainframes and computer cards, and McDonald's Happy Meals with specific menu items.

Lecture # 39

What are the characteristics of monopolistic competition?

Answer: Monopolistic competition is characterized by many firms, free entry and exit, and differentiated products.

What determines the amount of monopoly power in monopolistic competition?

Answer: The degree of differentiation of the product determines the amount of monopoly power in monopolistic competition.

What are the two important characteristics of monopolistic competition?

Answer: The two important characteristics of monopolistic competition are differentiated but highly substitutable products and free entry and exit.

How does a monopolistically competitive firm maximize profits in the short run?

Answer: A monopolistically competitive firm maximizes profits in the short run when marginal revenue (MR) equals marginal cost (MC).

What happens in the long run for a monopolistically competitive firm?

Answer: In the long run, profits attract new firms to the industry, causing the demand for the old firm's product to decrease, leading to lower output and prices.

What is the main difference between monopolistic competition and perfect competition in terms of equilibrium?

Answer: The main difference is that monopolistic competition yields a higher price due to the presence of some monopoly power, while perfect competition results in a price equal to marginal cost.

How does the existence of monopoly power affect economic efficiency in monopolistic competition?

Answer: The existence of monopoly power leads to higher prices and less economic efficiency compared to perfect competition.

What happens to output and price in a monopolistically competitive market if it becomes competitive?

Answer: If a monopolistically competitive market becomes competitive, output will increase, and prices will decrease.

Should monopolistic competition be regulated? Why or why not?

Answer: The need for regulation in monopolistic competition depends on the specific market conditions and whether there are concerns about anticompetitive behavior or consumer welfare.

What do the markets for soft drinks and coffee illustrate?

Answer: The markets for soft drinks and coffee illustrate the characteristics of monopolistic competition.

How can the demand for Brand X be more price inelastic than Brand Y?

Answer: The demand for Brand X can be more price inelastic if consumers have a stronger preference and loyalty towards it compared to Brand Y.

Is there much monopoly power in the markets for colas and coffee?

Answer: The elasticity values suggest that there is some degree of monopoly power in these markets due to the differentiated products.

What is the relationship between elasticity and monopoly power?

Answer: Higher elasticity indicates more competition, while lower elasticity suggests more monopoly power in a market.

Lecture # 40

What are the characteristics of an oligopoly?

Answer: An oligopoly is characterized by a small number of firms, product differentiation that may or may not exist, and barriers to entry.

Give examples of industries that exhibit an oligopoly market structure.

Answer: Examples of industries with an oligopoly market structure include automobiles, steel, aluminum, petrochemicals, electrical equipment, and computers.

What are the barriers to entry in an oligopoly?

Answer: Barriers to entry in an oligopoly can be natural, such as scale economies, patents, technology, or name recognition, and strategic actions like flooding the market or controlling an essential input.

What are the possible rival responses to a 10% price cut by an automobile company in an oligopoly?

Answer: Possible rival responses could be matching the price cut, initiating their price cuts, launching promotional campaigns, or introducing new product features to differentiate.

What is Nash Equilibrium in oligopoly?

Answer: Nash Equilibrium in oligopoly is a situation where each firm is doing the best it can given what its competitors are doing.

What is the Cournot model of duopoly?

Answer: The Cournot model is a duopoly where two firms compete with each other, produce a homogenous good, and assume the output of the other firm is fixed.

What is the reaction curve in the Cournot model?

Answer: The reaction curve in the Cournot model shows a firm's profit-maximizing output as a decreasing schedule of the expected output of its competitor.

How do firms reach the Cournot equilibrium?

Answer: In Cournot equilibrium, each firm correctly assumes its competitors' output and maximizes its own profits based on that assumption.

What is the first mover advantage in the Stackelberg model of oligopoly?

Answer: In the Stackelberg model, one firm can set output first, and the other firm follows with its output decision based on the first firm's action.

How does price competition occur in an oligopolistic industry?

Answer: Price competition occurs in an oligopolistic industry when firms compete by setting prices instead of output levels.

What is the Bertrand Model used to illustrate?

Answer: The Bertrand Model illustrates price competition in an oligopolistic industry with homogenous goods.

What is the Nash equilibrium in prices according to the Bertrand Model?

Answer: In the Nash equilibrium, firms set prices equal to their marginal cost, resulting in a zero-profit outcome.

How does price competition change when products are differentiated?

Answer: When products are differentiated, price competition also considers differences in product design, performance, and durability, leading to varying market shares.

What is the difference between Cournot and Bertrand models?

Answer: The Cournot model focuses on quantity competition, while the Bertrand model emphasizes price competition.

Lecture # 41

Why wouldn't each firm set the collusion price independently and earn higher profits?

Answer: Each firm may be tempted to cheat and set a lower price to capture a larger market share and gain a competitive advantage, leading to a prisoner's dilemma situation.

What is the Prisoners' Dilemma in oligopolistic markets?

Answer: The Prisoners' Dilemma illustrates the problem oligopolistic firms face when independently choosing pricing strategies, where both firms may end up with lower profits than if they had colluded.

Why do both firms choose \$4 instead of \$6 in the Prisoners' Dilemma?

Answer: Both firms choose \$4 because it is in their best interest to avoid the risk of their competitor undercutting them and gaining a larger market share, even though \$6 would yield higher profits.

What are the conclusions for oligopolistic markets in terms of collusion?

Answer: Collusion in oligopolistic markets can lead to greater profits, and it can be achieved explicitly or implicitly. However, once collusion exists, the incentive to break and lower prices is significant.

What is price signaling in oligopolistic markets?

Answer: Price signaling is an implicit collusion strategy where a firm announces a price increase, hoping that other firms will follow suit and maintain higher prices.

What is price leadership in oligopolistic markets?

Answer: Price leadership is a pricing pattern in which one firm regularly announces price changes, and other firms then match those price adjustments.

What is the Dominant Firm Model in oligopolistic markets?

Answer: In some oligopolistic markets, one large firm dominates with a major market share, and smaller firms supply the remainder. The dominant firm sets a price that maximizes its own profits.

What are cartels in oligopolistic markets?

Answer: Cartels are explicit agreements among firms to set output and price collectively to gain market power and achieve higher profits.

Give examples of successful cartels.

Answer: Examples of successful cartels include OPEC (Organization of the Petroleum Exporting Countries) and the International Bauxite Association.

Give examples of unsuccessful cartels.

Answer: Examples of unsuccessful cartels include the copper, tin, coffee, tea, and cocoa markets.

What are the conditions for a cartel to be successful?

Answer: A cartel is more likely to be successful if total demand is not very price elastic, and either the cartel controls most of the world's supply or non-cartel producers' supply is not price elastic.

How does OPEC set its oil prices?

Answer: OPEC sets its oil prices by finding the intersection of its marginal revenue and marginal cost curves to maximize profits.

How can oligopoly pricing behavior create a predictable pricing environment?

Answer: In some oligopoly markets, firms' pricing behavior over time can create a stable pricing environment with implied collusion, where prices tend to remain relatively rigid.

Why are firms in some oligopoly markets reluctant to change prices?

Answer: Firms in some oligopoly markets are reluctant to change prices because they are concerned about the response of their competitors, leading to relatively rigid prices.

Lecture # 42

What are the characteristics of competitive factor markets?

Answer: The characteristics of competitive factor markets include a large number of sellers and buyers of the factor of production, with both buyers and sellers being price takers.

What is the demand for a factor input when only one input is variable?

Answer: The demand for a factor input is derived from both factor cost and output demand. It depends on the marginal revenue product of labor (MRPL), which is the product of marginal product of labor (MPL) and marginal revenue (MR).

What happens to the value of MRPL when more workers are hired?

Answer: The value of MRPL decreases when more workers are hired due to the law of diminishing marginal returns.

How does a firm decide on the profit-maximizing amount of labor to hire?

Answer: A firm will hire more labor if MRPL (marginal revenue product of labor) is greater than the wage rate (w) and hire less labor if MRPL is less than the wage rate. The profit-maximizing amount of labor is reached when MRPL equals the wage rate.

How does a decrease in the wage rate impact the demand for labor in a scenario with two variable inputs?

Answer: A decrease in the wage rate will lead to an increase in the demand for labor as it becomes more cost-effective for the firm to hire additional labor.

What is a firm's demand curve for labor when multiple inputs are variable?

Answer: A firm's demand for one input (e.g., labor) when multiple inputs are variable depends on the marginal revenue product of both inputs.

What is MRPL in a competitive labor market?

Answer: MRPL stands for the Marginal Revenue Product of Labor, which is the additional revenue generated by employing one more unit of labor.

How does a firm determine the quantity of labor to hire in a competitive labor market?

Answer: A profit-maximizing firm will hire the quantity of labor at which the MRPL (marginal revenue product of labor) is equal to the wage rate (w).

In which markets does the decision occur when $MR = MC$?

Answer: In both the input market and the output market, the decision occurs when MR (marginal revenue) equals MC (marginal cost).

What happens to the demand for labor when the wage rate falls?

Answer: When the wage rate falls, the demand for labor increases as it becomes more cost-effective for firms to hire additional workers.

Lecture # 43

How would a lower wage impact the demand for labor by a firm?

Answer: A lower wage would lead to an increase in the demand for labor by the firm as it becomes more cost-effective to hire additional workers.

How would a change to a non-competitive market impact the derivation of the market demand for labor?

Answer: In a non-competitive market, firms may have more market power to influence wages, which could affect the market demand for labor differently than in a perfectly competitive market.

How does the demand for jet fuel impact airlines and refineries?

Answer: The demand for jet fuel affects both airlines and refineries as jet fuel is a significant factor cost for airlines and a product for refineries.

What is the short-run price elasticity of demand for jet fuel?

Answer: The short-run price elasticity of demand for jet fuel is very inelastic, meaning a change in price leads to a relatively small change in quantity demanded.

How does the long-run price elasticity of demand for jet fuel compare to the short-run?

Answer: In the long run, the price elasticity of demand for jet fuel may become more elastic as airlines and consumers have more time to adjust their behavior and find alternatives.

What factors affect a firm's input supply in a competitive factor market?

Answer: In a competitive factor market, a firm's input supply is influenced by the price of the factor and the level of production that maximizes the firm's profits.

How does the market supply for physical inputs like jet fuel, fabric, and steel behave?

Answer: The market supply for physical inputs is upward sloping, meaning suppliers are willing to provide more at higher prices.

What does the backward-bending supply of labor imply?

Answer: The backward-bending supply of labor implies that at some point, workers may choose to work fewer hours if their wages increase beyond a certain level due to the income effect of having more purchasing power.

What is the substitution effect of a wage increase?

Answer: The substitution effect of a wage increase encourages workers to substitute more work for leisure as the higher wage makes working more attractive.

How does the income effect of a wage increase impact the supply of labor?

Answer: The income effect of a wage increase allows workers to purchase more goods, including leisure, which may lead to a reduction in work hours if the income effect exceeds the substitution effect.

Lecture # 44

When is a competitive factor market in equilibrium?

Answer: A competitive factor market is in equilibrium when the price of the input equates the quantity demanded to the quantity supplied.

What is the condition for labor market equilibrium?

Answer: Labor market equilibrium is achieved when the wage (w) equals the marginal revenue product of labor (MRPL).

How can you determine MRPL in a competitive output market?

Answer: MRPL (Marginal Revenue Product of Labor) is calculated as the product of the market price (P) and the marginal product of labor (MPL).

What is the efficiency level of markets?

Answer: Markets are considered efficient when they reach equilibrium, where demand equals supply, and resources are allocated optimally.

In a monopolistic output market, what condition must hold for maximum profits?

Answer: To maximize profits in a monopolistic output market, the marginal revenue (MR) must be less than the price (P).

What is economic rent in a factor market?

Answer: Economic rent is the difference between the payment made to a factor of production and the minimum amount required to obtain the use of that factor.

How is the price of land determined in the short run?

Answer: In the short run, the price of land is determined entirely by demand when the supply of land is perfectly inelastic.

Why has the percentage of personnel in the public sector declined?

Answer: The percentage of personnel in the public sector has declined due to shortages of skilled personnel, leading to wage disparities with the private sector.

How does a shortage affect the wage rate in the public sector?

Answer: If there is a shortage, the wage rate in the public sector must be below the competitive wage rate.

What happens when the output market is perfectly competitive, and the input market is pure monopsony?

Answer: In such a case, there is monopsony power in the input market, where a single buyer controls the demand for inputs.

Give examples of industries with monopsony power.

Answer: Examples of industries with monopsony power include government hiring for soldiers and missiles, NASA hiring astronauts, and company towns.

What did baseball owners do to create monopsonistic power in the market for players?

Answer: Baseball owners created a monopsonistic cartel by implementing the Reserve Clause, preventing players from freely competing for contracts.

How did average salaries for baseball players change between 1969 and 1997?

Answer: In 1969, the average salary for baseball players was \$42,000, while in 1997, it increased to \$1,383,578.

How did salaries as a percentage of team expenditures change in baseball between 1975 and 1980?

Answer: Salaries as a percentage of team expenditures increased from 25% in 1975 to 40% in 1980.

What is the relationship between the wage and the marginal revenue product (MRP) in a monopsony market?

Answer: In a monopsony market, the wage (w) is less than the marginal revenue product of labor (MRP).

Why do many skilled personnel leave the public sector?

Answer: Skilled personnel often leave the public sector because the private sector offers higher wages based on marginal revenue product (MRP) rather than years of service.

How is the economic rent associated with labor calculated?

Answer: The economic rent associated with labor is the excess of wages paid above the minimum amount required to hire workers.

What prevents competition for players in the baseball market?

Answer: The Reserve Clause, created by baseball owners, prevents competition for players in the baseball market.

How do government contracts and monopsony power relate to the market for missiles and bombers?

Answer: In the market for missiles and bombers, the government acts as a monopsonistic buyer, holding significant monopsony power through its contracts.

Why do companies in a monopsony market pay lower wages than in a competitive market?

Answer: In a monopsony market, companies have market power and can lower wages because workers have limited options and fewer alternative employers to choose from.

Lecture # 45

Can sellers of inputs have monopoly power?

Answer: Yes, sellers of inputs can have monopoly power, such as labor unions being a significant example in factor markets.

What is the primary determinant of controlling wages and economic rent in labor markets?

Answer: The primary determinant of controlling wages and economic rent in labor markets is controlling the supply of labor.

How does union monopoly power affect the nonunionized part of the economy?

Answer: Union monopoly power impacts the nonunionized part of the economy by influencing wage rates and labor market outcomes.

In a labor union monopoly, how does the union choose the number of workers and the wage rate?

Answer: In a labor union monopoly, the union chooses the number of workers (L^*) and the wage rate (w^*) to maximize its objectives.

What determines the quantity of labor that maximizes the rent earned by union members?

Answer: The quantity of labor (L_1) that maximizes the rent earned by union members is determined by the intersection of the marginal revenue and labor supply curves.

At what wage rate should the union allow L_2 union members to be employed to maximize total wages paid to workers?

Answer: To maximize total wages paid to workers, the union should allow L_2 union members to be employed at a wage rate of w_2 .

What type of market is a bilateral monopoly?

Answer: A bilateral monopoly is a market in which a monopolist sells to a monopsonist.

When does wage determination occur without union monopoly power?

Answer: Wage determination occurs without union monopoly power when the marginal revenue product (MRP) equals marginal expenditure (ME) at 20 workers and a wage of \$10/hr.

How does the union's objective differ from the firm's objective in a bilateral monopoly?

Answer: The union's objective is to equate marginal revenue (MR) to marginal cost (MC) at 25 workers and a wage of \$19/hr.

Who wins in a bilateral monopoly market?

Answer: In a bilateral monopoly, the outcome depends on credible threats. The union will win if its threat to strike is credible, and the firm will win if its threat to hire non-union workers is credible. Otherwise, the wage will be at a negotiated point (WC).

What role does the quantity of labor (L^*) play in the labor union's decision-making process?

Answer: The quantity of labor (L^*) plays a crucial role in determining the number of workers the union wants to hire.

What happens to economic rent if the union chooses to maximize the number of workers hired?

Answer: If the union chooses to maximize the number of workers hired (L^*), the economic rent may not be maximized.

How is wage determined in the nonunionized sector in the presence of a labor union?

Answer: The wage in the nonunionized sector is influenced by the union's wage decisions and can be affected by the threat of a strike.

What does the intersection of the marginal revenue and supply of labor curves determine?

Answer: The intersection of the marginal revenue and supply of labor curves determines the wage rate paid to union members (w_1).

How does a labor union decide the wage rate for union members to maximize total wages paid to workers?

Answer: A labor union decides the wage rate (w_2) for union members to maximize total wages paid to workers.

What happens to the union's original revenue if they allow L_2 union members to be employed at wage w_2 ?

Answer: If the union allows L_2 union members to be employed at wage w_2 , the union's original revenue will be zero.

What are the key observations in the labor market without union monopoly power?

Answer: The key observations are that marginal revenue product (MRP) equals marginal expenditure (ME) at 20 workers, and the wage is \$10/hr.

What is the objective of the labor union in a bilateral monopoly?

Answer: The labor union's objective is to equate marginal revenue (MR) with marginal cost (MC) at 25 workers and a wage of \$19/hr.

How does the outcome of a bilateral monopoly depend on credible threats?

Answer: In a bilateral monopoly, if the union's threat to strike is credible, it may win. If the firm's threat to hire non-union workers is credible, the firm may win. Otherwise, the wage will be at a negotiated point (WC).

Why might a wage negotiation occur in a bilateral monopoly market?

Answer: A wage negotiation may occur in a bilateral monopoly market because both the labor union and the firm have bargaining power and are trying to maximize their respective objectives.

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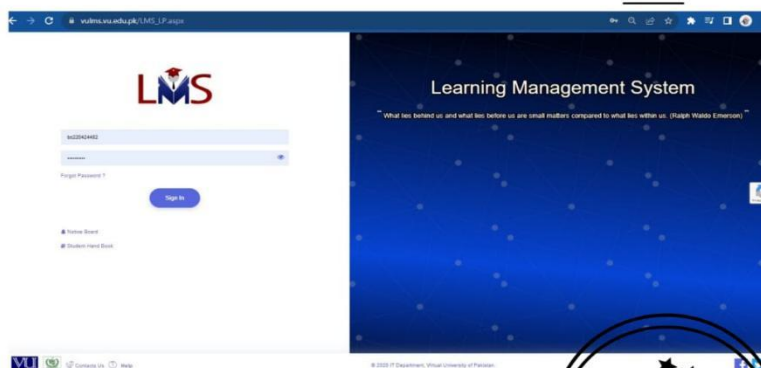
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